BUDGET 2023

A BIG BOOST FOR JOBS

A fiscally prudent Modi government ramps up capital expenditure in key sectors to generate employment. How far it succeeds will depend on implementation

By **M.G. ARUN** | *Photograph by* **CHANDRADEEP KUMAR**

When Union finance minister Nirmala Sitharaman stood up to present Budget 2023, everyone knew it was going to be a tough balancing act. Even though the Indian economy is projected to grow at 7 per cent this financial year—the highest among all major economies and hailed by the FM herself as "a bright star" in the world—she had several critical issues to address. The worldwide polycrisis triggered by high inflation and a steep economic downturn precipitated by the Covid-19 pandemic and Russia's war on Ukraine continued to loom large. As president of the all-powerful G20 grouping of nations, it was also important for India to inspire global confidence and cement the nation's standing in the global economic order. It will be a politically crucial year for the Narendra Modi government with nine state elections at stake and the 2024 general election coming up. The Opposition, particularly the Congress, had come down heavily on the government for the rising unemployment, in addition to the spiralling inflation.